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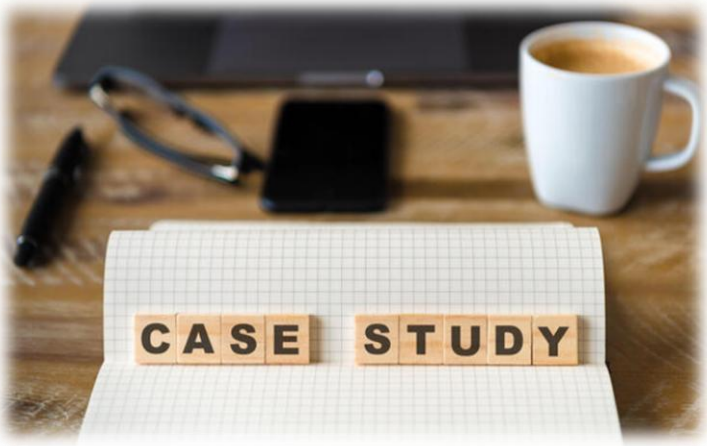
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# Case Study - Final Exam

## Distribution Channels Case Study - Chic Soap



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# 1. Executive Summary




**Chic Soap** is a proposed business that will manufacture and distribute a range of premium toilet soaps using well-known fragrances.

This will be associated with leading perfume brands, such as Obsession, Raffinée, and Opium. The soaps will be made using a high-quality white soap base, with packaging designed to reflect each fragrance.

Our aim is to offer customers a touch of luxury in their everyday personal care products at an affordable price.

**Operational Capacity & Production Model**

- **Operating Schedule:** The production plan is based on 20 operating hours per day, six days a week, over 47 weeks each year.

  This gives a total of 5,640 scheduled hours annually. A (2-hour) changeover each week will take up 94 hours over the year, and 5,546 hours will be available for production.

  At a production rate of 1,200 bars per hour, the business could theoretically produce 6,655,200 bars annually.

  Considering 10% of the estimated UK premium-soap market, which is valued at approximately £13.3 million, estimated annual sales would be around 773,256 bars. Producing this quantity would require only around 644 hours, using about 11.6% of the available production capacity. These figures show the potential capacity of the operation and the production requirements under the sales scenario; they should not be treated as a confirmed sales forecast.

- **Annual Production Capacity:** The theoretical annual production capacity is 6,655,200 bars, based on the operating schedule and production rate above. This figure does not account for any additional downtime, defective products, changes in demand or inventory limitations.

**Product Mix Allocation:**

The proposed annual sales volume of 773,256 bars would be divided as follows:

- **75% (579,942 bars):** Regular sales of individual soap bars.
- **25% (193,314 bars):** Christmas gift packs. With five bars in each pack, this would produce approximately 38,663 gift packs.

This product mix is a planning assumption rather than a level of demand.

**Financial Structure & Profitability Highlights**

- **Annual variable cost:** The estimated variable cost is £0.7375 per bar, based on the assumptions in Section 6.3. This includes the additional £0.45 cost for each five-bar gift pack, spread across the proposed 25% share of gift-pack sales. At the target annual sales volume of 773,256 bars, total variable costs would be approximately £570,276.

  If the business operated at full theoretical capacity, annual variable costs would increase to approximately £4,908,210.

- **Annual fixed costs:** Estimated at £160,000, including £35,000 for quality-control salaries (assuming this amount covers all three employees), £50,000 for the launch and trade-marketing budget, and £45,000 for the sales team and vehicles (three representatives at £15,000 each). The remaining costs include £25,000 in annual rent for a 4,000 sq ft workspace in Southeast England and £5,000 in business rates and local taxes.

- **Revenue & Profitability Projections:** The financial projections are based on a target of capturing 10% of the estimated £13.3 million UK premium-soap retail market. Based on the average competitor's retail price of £1.72 per 150g bar, this would represent around £1.33 million in retail sales and approximately 773,256 bars per year.

  Chic Soap's estimated revenue would be lower than the retail sales value, as it would sell 70% of its products through wholesalers at £1.36 per bar and the remaining 30% directly to department stores at £1.48 per bar. This gives a weighted average selling price of £1.396 per bar and estimated annual revenue of approximately £1,079,465.

  After deducting variable costs of £0.7375 per bar and annual fixed costs of £160,000, the estimated operating profit before tax would be approximately £349,189. These figures represent a planning scenario rather than a confirmed forecast. Achieving a 10% market share would be ambitious for a new business and would depend on securing sufficient retail distribution and generating actual customer sales.

- **Break-even:** Based on the estimated weighted-average selling price of £1.396 per bar, variable cost of £0.7375 per bar and annual fixed costs of £160,000, Chic Soap would need to sell approximately 242,976 bars annually to cover its estimated operating costs. This represents around 31.4% of the proposed annual sales target. The break-even estimate is sensitive to changes in selling prices, distribution mix and cost assumptions.

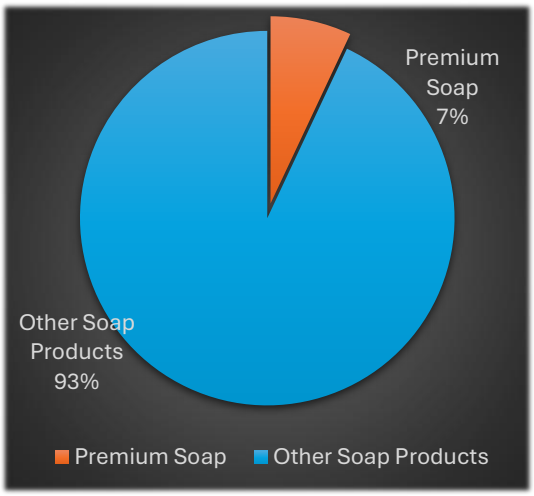
# 2. Situation Analysis




## 2.1 Market Overview

The UK toilet soap market was estimated to be worth around £190 million, with premium soaps making up approximately 7% of the total market. This puts the value of the premium segment at about £13.3 million.

| Product Category | Percentage | Description |
|---|---|---|
| **Premium Soap** | 7% | Includes higher-priced and specialist soaps, which represent the target market for Chic Soap. |
| **Other Soap Products** | 93% | Includes standard soaps aimed at the wider mass market. |




The premium segment is relatively small and growing slowly. However, several factors could help support demand, including environmental concerns about aerosol deodorants, the growing use of showers and the increase in single-person households.

Although soaps are sold through around 200,000 retail outlets across the UK, most of these outlets mainly sell mass-market products, with a typical price of about £0.25 for a 150g bar.

Premium soaps are sold through fewer outlets, mainly independent chemists and department stores.

In the premium segment, competition is mainly based on fragrance and the way customers view the product.

Prices for the five main competing ranges vary from £1.45 to £1.95 per 150g bar, while some well-known premium soaps sell for around £3. This means Chic Soap should focus on offering something different and giving customers good value for money, rather than trying to compete with the much cheaper mass-market soaps.

## 2.2 Market Needs

Customers who buy premium soaps are looking for more than just a product to clean with. Fragrance, appearance and the feeling of luxury are also important factors in their buying decisions.

According to the research included in the case study, consumers see premium soap as:

- An affordable way to enjoy a little luxury.
- A product that makes everyday routines feel more special.
- A reasonably priced gift that people are likely to appreciate.

Chic Soap aims to meet their expectations by using well-known perfume fragrances in a good-quality soap base, with packaging that suits each fragrance.

It also gives customers a different way to enjoy fragrances they may already know and like.

For this reason, Chic Soap should focus on its fragrances, packaging and the value it offers to customers, rather than competing directly with cheaper mass-market soaps.

## 2.3 Target Market



### Question 1: Who are your target audience?

Chic Soap will mainly target women aged 35 and above from socioeconomic group A. According to the case study, most of these potential customers live in Southeast England, although there is also demand in other major cities across the UK.

This group is a good fit for the product because fragrance and appearance play an important role in their choice of premium soaps, and they are generally less sensitive to price.

On average, a customer in this segment buys one 150g bar of this soap every three weeks.

Another target group is working women aged 25–45 who enjoy trying different and unusual fragrances. This group is also relevant to Chic Soap, as Chic Soap has access to five leading perfume fragrances that can be used to offer customers a wider choice of fragranced soaps.

Gift buyers are another potential market for Chic Soap. Premium soap is often seen as an affordable luxury gift, and the case study shows that around 25% of premium soap sales in the previous year happened between early November and late December.

Based on these findings, Chic Soap will focus on three main customer groups:

1. Women aged 35 and above in socioeconomic group A.
2. Working women aged 25–45 who enjoy trying different and distinctive fragrances.
3. Customers buy premium soap as a gift, especially during the Christmas season.

The main focus will be on the first group, while the other two groups offer additional opportunities to reach more customers and increase sales.

## 2.4 Competitive Analysis




Chic Soap will compete with well-established brands in the premium soap market, such as Roger & Gallet, Penhaligon, Yardley and Morley.

According to the case study, prices for the five main competing premium soap ranges are approximately £1.45, £1.60, £1.75, £1.85 and £1.95 per 150g bar. Some luxury soaps linked to well-known perfume brands are even more expensive, reaching around £3.00 per bar.

| Competitor Brand / Range | Price per 150g Bar (£) | Market Position / Notes |
|---|---|---|
| **Roger & Gallet** | £1.60 | Established premium competitor range |
| **Penhaligon** | £1.75 | Luxury fragrance and soap brand |
| **Yardley** | £1.85 | Traditional premium soap range |
| **Morley** | £1.95 | Premium market range |
| **Three prem.** | £1.45 | Three available premium soaps |
| **Average Price** | **£1.72** | Calculated average across the 5 main ranges $\left(\frac{1.60+1.75+1.85+1.95+1.45}{5}\right)$ |

The case study identifies women aged 35 and above in socioeconomic group A as the main target market, with most of these consumers living in Southeast England and other major cities. It also reports that the average customer buys one 150 g bar every three weeks. The

additional customer segment discussed below is a recommendation for Chic Soap rather than a group specifically identified in the case study.




The main competitive factors are:

- **Fragrance:** Consumers pay close attention to the type of fragrance used in premium soaps.
- **Brand image:** Familiar perfume brands and their reputation can influence customers' buying decisions.
- **Seasonal sales:** Gift purchases provide an additional sales opportunity, particularly around Christmas.

  The case study reports that around 25% of premium soap sales in the previous year took place between early November and late December. This makes the period important for seasonal planning, although it does not mean Chic Soap will achieve the same sales pattern.
- **Price:** Premium soaps are more expensive than mass-market products, but customers in this segment are generally less concerned about price. Fragrance and product image tend to play a bigger role in their choices.

Chic Soap plans to compete by combining well-known perfume fragrances with a good-quality soap base and attractive packaging. This will give customers the chance to enjoy familiar fragrances in a premium soap product.

However, using well-known perfume names will not be enough on its own to attract customers. The soap must also be of good quality, the packaging should match the product image, and the products must be constantly available.

The main target will remain women aged 35 and above in socioeconomic group A, as identified in the case study. Working women aged 25–45 and gift buyers will be considered as additional customer groups that Chic Soap can provide too.

Chic Soap will compete with established premium soap brands and ranges, including Roger & Gallet, Penhaligon, Yardley, Morley and three other premium soaps mentioned in the case study.






## 2.5 SWOT Analysis

| STRENGTHS (S) | WEAKNESSES (W) |
|---|---|
| * Access to five leading perfume fragrances that together account for approximately 20% of total perfume sales.<br>* Use of well-known fragrances that may help customers recognize the products and distinguish them from competing soaps.<br>* A premium product combining distinctive fragrances, a good-quality soap base and attractive packaging.<br>* Access to alternative suppliers for the soap base, reducing reliance on a single supplier. | * Chic Soap is a new business and has not yet built a reputation in the soap market.<br>* High-quality packaging requires a minimum order of 40,000 units, which may increase initial costs and create difficulties in managing stock.<br>* The cost of perfume per unit is considerably higher when production volumes are low.<br>* Skilled employees will be needed to monitor production and maintain consistent product quality.<br>* Building relationships with distributors and making customers aware of the new brand will take time and require additional resources. |
| **OPPORTUNITIES (O)** | **THREATS (T)** |
| * The estimated £13.3 million UK premium soap market gives Chic Soap a clear market to target.<br>* Consumer interest in fragrance, product appearance and affordable luxury creates an opportunity for Chic Soap to offer something different from standard soap products.<br>* Christmas gift purchases provide an opportunity to increase sales during the festive season.<br>* Working with perfume suppliers could help Chic Soap make use of well-known fragrances and their existing market recognition.<br>* Independent chemists and department stores are suitable places for Chic Soap to reach customers who prefer premium soaps. | * Strong competition from well-established brands in the premium soap market.<br>* Leading competitors spend heavily on advertising, with average annual expenditure of approximately £400,000.<br>* Changes in soap base prices could increase production costs and affect profit margins.<br>* Relying on wholesalers and retailers may limit Chic Soap's direct contact with customers and reduce its share of the final selling price.<br>* Customers may not respond positively to the proposed product or accept its price, making it difficult to achieve the planned sales volume. |

# 3. Marketing Strategy




## 3.1 Value Proposition

Question 2: What is the product benefit that you will be providing?

**Answer:**

Chic Soap will offer customers a premium soap that combines fragrances from well-known perfumes with a high-quality white soap base.

The main benefit is that customers can enjoy familiar and appealing fragrances in a product they use every day, adding a little luxury to their daily personal care routine.

The product will offer four main benefits:

1. **Recognizable fragrances:** Customers will have a choice of soaps based on five leading perfumes, making the product appeal to those who already know and enjoy these fragrances.
2. **Affordable luxury:** Chic Soap will give customers the chance to enjoy a premium fragrance in an everyday product without paying the price of a luxury perfume.
3. **Attractive packaging:** Each soap will have packaging that reflects its fragrance, while maintaining a common Chic Soap design across the product range. This will help create a consistent and recognizable brand image.
4. **Gift appeal:** The soaps will also be suitable as affordable gifts, particularly in seasonal gift packs containing all five fragrance varieties.

Chic Soap will not try to compete by offering the lowest prices.

Instead, it will focus on the fragrance, quality and packaging of its soaps to give customers something different, whether they are buying for themselves or as a gift.

## 3.2 Positioning




Chic Soap will be positioned as a premium soap at an affordable price, bringing fragrances associated with well-known perfumes into everyday personal care.

Its positioning will be between ordinary mass-market soap and higher-priced luxury soaps.

The product will focus on three main selling points:

- **Recognizable fragrance:** Offering a choice of appealing fragrances linked to well-known perfume brands.
- **Premium quality and presentation:** Combining a good-quality soap base with attractive packaging.
- **Affordable luxury:** Giving customers the chance to enjoy a more luxurious product as part of their daily routine.

This positioning will help Chic Soap distinguish itself from low-priced mass-market soaps while offering an alternative to some of the more expensive luxury soap products.

## 3.3 Marketing Objectives




The main marketing objectives are to introduce Chic Soap to the premium soap market, attract its target customers and build a strong distribution network.

Chic Soap will focus on the following objectives:

- **Market entry:** Get Chic Soap into selected independent chemists and national department stores.
- **Distribution development:** Build good working relationships with wholesalers supplying independent chemists and with buyers at department stores.
- **Product awareness:** Make potential customers aware of the fragrances, quality and packaging of Chic Soap, and the benefits it offers.
- **Christmas sales:** Increase sales during the Christmas period by offering gift packs and running suitable promotions.
- **Customer acceptance:** Gather feedback from customers and retailers on the different fragrances, packaging and selling prices to understand how well the product is received.

Progress towards these objectives will be tracked through sales reports, the number of retail outlets selling Chic Soap, retailer feedback, repeated orders and sales during the Christmas period.

The initial annual sales target is approximately 773,256 bars. This represents around 10% of the estimated £13.3 million UK premium-soap market, based on the average retail price of £1.72 per bar. Reaching this target will be challenging for a new business, as it will depend on securing enough retail outlets and generating sufficient sales for customers.

Therefore, the target will need to be reviewed as the business collects more information about actual sales and market demand.

Chic Soap will also set specific targets for distribution and promotional activities once the sales forecast and production plan have been finalized.

These targets will consider the number of confirmed retail accounts, expected sales per outlet and the available launch budget.

# 4. Marketing Mix




## 4.1 Product Strategy

Chic Soap will produce 150g soap bars using a high-quality white soap base, with a choice of five different perfume fragrances.

Each soap will have packaging that reflects its fragrance, while keeping a common Chic Soap design across the whole range.

This will help customers recognize the different fragrances while also building a consistent brand image. The estimated packaging cost is £0.14 per bar, with a minimum print order of 40,000 units.

Maintaining product quality will also be important. Skilled employees will be needed to monitor production and make sure that all five varieties meet the same quality standards.

For the Christmas season, Chic Soap will also offer gift packs containing all five soap varieties.

These packs will give customers another option when buying gifts. The additional production cost will be £0.45 per pack, with a minimum production order of 25,000 packs.

## 4.2 Pricing Strategy




The proposed retail price for a 150g bar is **£1.85**.

This selected price is a marketing decision rather than a figure given in the case study. It has been chosen based on the prices of competing premium soaps, which range from approximately £1.45 to £1.95 per bar.

At £1.85, Chic Soap would be priced towards the higher end of the premium soap market. This reflects the quality and image Chic Soap wants to offer while keeping the product within the existing premium price range.

According to the case study, retailers expect a gross margin of around 20% on premium soaps, while wholesalers expect a margin of approximately 8%.

Based on the proposed retail price and these margins, the estimated selling prices at each stage of the distribution channel would be as follows:

| Stage | Approximate price per bar |
|---|---|
| **Recommended retail price** | £1.85 |
| **Retailer's purchase price** | £1.48 |
| **Wholesaler's purchase price** | £1.36 |

The calculations are based on a retailer's gross margin of 20% of the final retail price. For wholesalers, an 8% gross margin is calculated on the price at which they sell to retailers. These assumptions give an estimated selling price of £1.36 per bar from Chic Soap to the wholesaler. The actual prices and terms would need to be agreed with each wholesaler.

For department stores buying directly from Chic Soap, the selling price would be approximately £1.48 per bar, based on the same 20% retailer margin.

The proposed retail price should be reviewed once Chic Soap has tested customer response and confirmed its full production, labor, distribution and marketing costs.

## 4.3 Promotional Strategy

### Question 3: How are you intending to reach the target audience?

**Answer:**



Chic Soap will use a mix of advertising, in-store promotions, seasonal offers and cooperation with perfume suppliers to reach potential customers and introduce them to the product.

The main promotional activities will include:

1. **Women's Magazines:** Women's magazines will be the main advertising channel, as they are already used by many companies selling premium soaps.

   According to the case study, advertising costs around £100 for every 2,000 people reached within the target socioeconomic group. This will help Chic Soap choose magazines that are likely to reach its intended customers.

   However, instead of spending heavily on advertising from the start, as leading competitors do with an average annual expenditure of around £400,000, Chic Soap will begin with selected magazines and smaller, targeted campaigns.

2. **In-Store Promotion:** Chic Soap should be displayed in attractive and visible locations within independent chemists and department stores.

   Point-of-sale materials will highlight the five different fragrances and help create a premium image for the product. The displays should also make it easy for customers to recognize each fragrance and choose the one they prefer.

3. **Christmas Promotions:** Christmas will be an important time for Chic Soap to increase sales.

   The case study shows that around 25% of premium soap sales in the previous year took place between early November and late December. During this period, Chic Soap will focus on promoting its gift packs containing all five fragrances. Special product displays and seasonal advertising will help attract customers looking for gifts.



4. **Cooperation with Perfume Suppliers:** Chic Soap will look for opportunities to work with its perfume suppliers on joint promotional activities. Since the products are based on well-known perfume fragrances, this could help attract customers who are already familiar with them. It may also help introduce Chic Soap to a wider audience. However, using any perfume brand names, logos or designs on the packaging or in advertising will require the necessary agreements and permission from the brand owners.
5. **Product Information and Customer Feedback:** Retail staff will be given basic information about the five fragrances, the product's main features and its position in the premium soap market. Chic Soap will also collect feedback through participating in retailers to find out which fragrances customers prefer, what they think of the product and whether any improvements are needed.

**Promotional Budget Calculation & Launch Allocation:**

**Consumer Reach, Advertising & Promotion Strategy**




- **Consumer Reach & Consumption:** Based on the 10% market-share scenario, the target is to sell approximately 773,256 bars annually. Since an average customer buys one bar every three weeks, this would mean around 17.3 bars per customer each year. To achieve the sales target, Chic Soap would need approximately 44,700 regular customers. This is an estimate based on purchasing frequency, rather than a guarantee that Chic Soap will attract this number of customers.
- **Advertising Cost:** The case study estimates advertising costs at around £100 for every 2,000 people reached within the target socioeconomic group. Based on this rate, reaching approximately 383,970 *(calculated based on the total production line capacity)* people would cost £19,198.50. However, reaching these people does not necessarily mean they will buy the product, so this figure is only an estimate of advertising costs.
- **Trade Promotion & Retail Support:** In addition to advertising, Chic Soap will need to support its retailers and wholesalers through point-of-sale materials and seasonal promotions, particularly during the Christmas period. The proposed distribution plan aims to reach 350 department store accounts and 20 major wholesaler chains.
- **Total Promotional Budget:** Chic Soap plans to allocate £50,000 to launch activities and trade marketing, including advertising, retail support and seasonal promotions. After allowing £19,198.50 for advertising, approximately £30,801.50 would remain for the other promotional activities.

The proposed marketing budget of £50,000 would support the product launch, promotional activities and development of the distribution network, which is lower than £400,000 reported for established competitors in the case study. Chic Soap should therefore focus its spending on targeted promotional activities and retailer support rather than attempting to match competitors' advertising budgets.

This will be reviewed regarding actual sales and customer response. This will help Chic Soap understand which activities are producing results and where budget should be spent.

## 4.4 Distribution Strategy




### Question 4: Which distribution channels will be most appropriate?

**Answer:**

Chic Soap will initially focus on selling through independent chemists and department stores. Selected multiple chemists may also be considered as the business expands.

These outlets are a good starting point because premium soaps are usually sold through a smaller number of specialized retailers compared with mass-market soaps. Focusing on stores that already sell premium products will help Chic Soap reach customers who are more likely to be interested in its range.

Chic Soap will use two main distribution channels:

**1. Wholesalers to Independent Chemists**

Independent chemists are a suitable outlet for premium soaps, although many of them buy their products through wholesalers rather than directly from manufacturers.

According to the case study, wholesalers account for around 70% of the relevant market. About 100 wholesalers supply independent chemists, and approximately 20 national chains represent 80% of the total wholesaler business. It is important to note that the 70% figure relates to the market as a whole and does not mean that Chic Soap will necessarily generate 70% of its sales through this channel.

Chic Soap should therefore focus on building relationships with the larger national wholesalers. This would give Chic Soap access to a wide network of independent chemists without having to approach each retailer separately.

**2. Direct Distribution to Department Stores**

The case study identifies around 350 national department stores that buy directly from suppliers. These stores could be potential customers for Chic Soap, although this does not mean Chic Soap will automatically secure a listing in all of them.

Chic Soap should approach these stores directly, as they offer an opportunity to reach customers who are already interested in premium products.

Dealing directly with department stores would also give Chic Soap a chance to discuss how its products are displayed, possible promotional activities and seasonal gift-pack arrangements with store buyers.

**3. Selected Multiple Chemists**

Chic Soap could also consider selling through selected multiple chemists at a later stage. However, it would be better to focus on the initial launch first and only expand into this channel once Chic Soap can maintain a reliable supply of products and is confident that the additional distribution costs are worthwhile.

**4. Delivery and Logistics**

The factory is expected to be in Southeast England, close to the main area of demand.

The case study estimates parcel delivery costs at approximately £0.50 per kilogram, with higher charges for deliveries outside the local area. Based on product weight alone, delivering a 150g bar would cost approximately £0.075 per bar. However, actual delivery costs may also include packaging, handling charges and minimum delivery fees. Chic Soap should obtain quotations from logistics providers before finalizing its distribution budget.

Overall, Chic Soap should use wholesalers to supply independent chemists and deal directly with national department stores. Selected multiple chemists could be added at a later stage as the business grows. This approach would allow Chic Soap to reach different parts of the premium soap market without making its distribution arrangements too complicated.



# 5. Channel Support and Sales Management

## 5.1 Channel Support



Question 5: How are you intending to support such channels?

**Answer:**

Chic Soap will need to provide retailers and wholesalers with the support they need to sell the product effectively and keep it available to customers. The proposed activities should also help build good working relationships with these businesses and ensure that supplies can be replenished when needed.

The following activities are recommended. Their effectiveness should be reviewed, and the associated costs included in the marketing budget.

**1. Attractive Retail Margins**

Chic Soap should set its prices so that retailers can make a gross margin of around 20%, while wholesalers can achieve a margin of approximately 8%.

Offering these margins would give both retailers and wholesalers a financial incentive to stock and distribute the product.

**2. Point-of-Sale Materials**

Chic Soap should provide retailers with display materials, product information and promotional leaflets.

These materials will help customers learn more about the different fragrances and understand the product's premium positioning. Well-designed displays will also help Chic Soap stand out and attract attention inside stores.

**3. Product Sampling and Demonstration Support**

Where possible, Chic Soap could offer free samples or organize promotional activities in stores to give potential customers a chance to try the different fragrances.

This would help introduce the product to customers who may not have heard of the brand before. However, Chic Soap should consider the cost of providing samples and running these activities before deciding to go ahead.

**4. Seasonal Promotions**

Chic Soap should work with retailers and wholesalers to organize Christmas promotions well in advance.

Gift packs featuring all five fragrances could be promoted using suitable displays and promotional materials. Retailers should also be given enough time to place their orders and arrange suitable display space in their stores.

**5. Sales Visits and Relationship Management**

Chic Soap should arrange regular sales visits to build and maintain good relationships with wholesalers and retailers, especially the major wholesaler chains and national department stores.

Keeping in regular contact with these businesses will help Chic Soap understand what they need, discuss possible promotional activities and deal with any problems related to product supply or business arrangements.

**6. Reliable Supply and Replenishment**

Chic Soap should make sure that enough stock is available to meet orders from retailers and wholesalers.

Premium retailers usually prefer to keep smaller quantities of stock rather than hold large amounts. For this reason, Chic Soap should have a simple and reliable ordering and delivery system that allows retailers to restock when needed without having to keep too much stock in their stores.

Production should also be planned for changes in demand throughout the year, particularly in the run-up to Christmas when demand may increase.

**7. Communication and Feedback**

Chic Soap should keep in regular contact with wholesalers and retailers to find out which fragrances customers prefer, which products sell well and whether there are any problems with stock or opportunities for promotions.

The feedback received from these businesses can help Chic Soap make better decisions about stock levels, production planning and future marketing activities.

## 5.2 Sales Management



The sales team will play an important role in building and maintaining Chic Soap's distribution network. At the beginning, the main focus should be on approaching the major national wholesaler chains and national department stores.

The sales representatives will be responsible for:

- Negotiating supply arrangements with wholesalers and department stores.
- Introducing the product range and explaining its main selling points.
- Discussing promotional activities and product displays with retailers.
- Following up on orders and checking product availability.
- Gathering feedback from wholesalers and retailers.
- Looking for opportunities to expand Chic Soap's distribution network.

According to the case study, the annual cost of employing one sales representative is approximately £12,000, with a further £3,000 for a company car. This brings the total annual cost per representative to around £15,000.

The study also indicates that one representative could either visit around 500 retail outlets directly or manage relationships with approximately 15 wholesaler chains. These are two different ways of covering the market and should not be considered as tasks that one representative can necessarily handle at the same time.

Based on these estimates, Chic Soap could initially employ three sales representatives to cover its distribution network of 20 major wholesaler chains and 350 national department stores. Two representatives could handle the wholesaler accounts, while the third could focus on the department stores. With each representative receiving a company car, the total annual cost of the sales team would be approximately £45,000.

Starting with this team would allow Chic Soap to establish relationships with its main distribution partners without having to contact every independent chemist individually.

Chic Soap should also review sales performance regularly. This could include looking at the number of active accounts, how widely the product is distributed, how frequently customers place orders and the quality of relationships with wholesalers and retailers. As the business grows, Chic Soap can decide whether additional sales staff are needed.

# 6. Operations and Financial Plan



## 6.1 Production Requirements

Chic Soap will need a suitable factory, which is initially expected to be located in Southeast England, close to its main market. According to the case study, the average factory size required is around 4,000 square feet. The annual rent is estimated at £25,000, with business rates of approximately £5,000.

Chic Soap will also need a small production line covering filling, molding and packaging. The estimated cost of this equipment is £25,000. It would take up around 2,000 square feet and could produce approximately 1,200 bars per hour. Changing the perfume and packaging between production runs would take about two hours. Production should therefore be planned carefully to avoid unnecessary changes and make the best use of the available production time.

Three skilled employees will be needed to monitor the production process and maintain product quality. The case study mentions an annual base salary of £35,000, but it is not clear whether this figure is for each employee or for all three combined. This needs to be confirmed before the final staff costs can be calculated.

## 6.2 Unit Cost Framework

The case study provides the following production cost information for a 150g soap bar:

| Cost Item | Cost per Bar |
|---|---|
| **High-quality soap base** | £0.08 |
| **Perfume at 300,000 units annually** | £0.40 |
| **Premium packaging** | £0.14 |
| **Energy and maintenance** | £0.02 |
| **Subtotal of identified costs** | **£0.64** |

The perfume cost depends on the number of bars produced each year. The case study gives different rates for three production levels, as shown below:

| Annual Production Quantity | Perfume Cost per Bar | Subtotal of Identified Costs per Bar |
|---|---|---|
| **300,000 units** | £0.40 | £0.64 |
| **200,000 units** | £0.65 | £0.89 |
| **100,000 units** | £0.80 | £1.04 |

These figures cover only the costs listed above. They do not include staff salaries, factory rent, business rates, distribution, sales or promotional expenses.

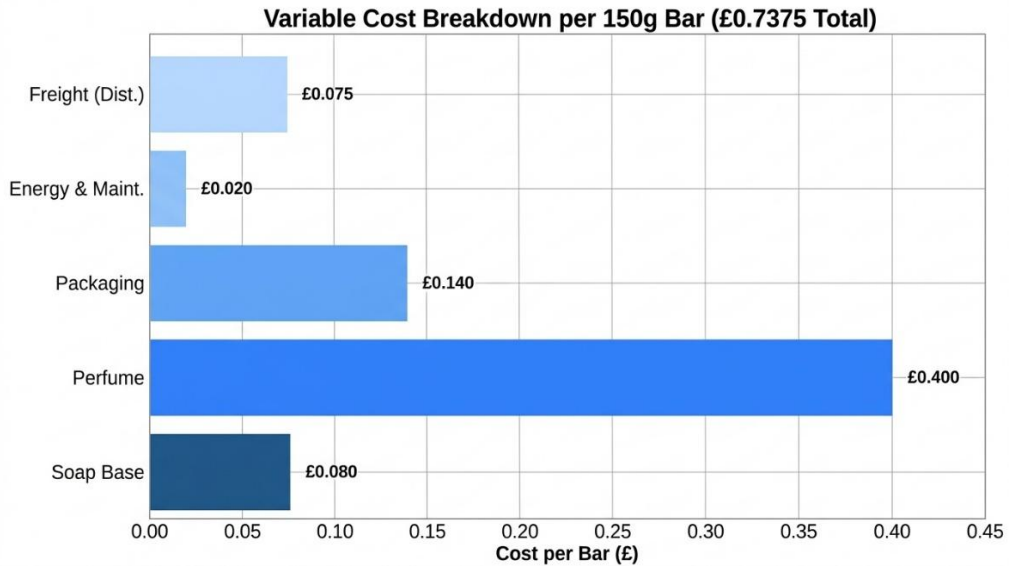
As production increases, the perfume cost per bar becomes lower. However, this does not mean that producing as many bars as possible is always the best option. Making more soap than Chic Soap can sell could lead to excess stock and tie up money that could be used elsewhere. For this reason, production levels should be based on expected customer demand rather than the factory's maximum capacity.



## 6.3 Variable Cost Schedule

To establish a comprehensive operational baseline, the variable cost structure per 150g soap bar is detailed below, incorporating volume-adjusted perfume costs, direct transport, and packaging weightings:

| Cost Item | Description | Cost per Bar (£) |
|---|---|---|
| **Soap Base** | High-quality white soap base per unit | £0.08 |
| **Perfume** | Incorporated perfume based on maximum volume discount tier (300k+ units) | £0.4 |
| **Premium Packaging** | Individual packaging for each bar | £0.14 |
| **Energy & Maintenance** | Direct variable production operating costs | £0.02 |
| **Distribution / Freight Cost** | Direct weight-based carrier transport (avg. £0.50/kg, approx. 5 units per kg) | £0.075 |
| **Seasonal Gift Packaging** | £0.45 per 5-bar pack × 25% of bars ÷ 5 | £0.0225 |
| **Total Variable Cost per Unit** | **Weighted average total variable cost per bar** | **£0.7375** |



The calculations assume that gift packaging is an additional cost and does not replace the individual packaging of each soap bar. It is also assumed that 25% of total sales will be made through five-bar gift packs.

## 6.4 Fixed Costs Schedule

Annual fixed overheads and operating expenses are standardized to support baseline operations and market launch:

| Fixed Cost Item | Description | Annual Cost (£) |
|---|---|---|
| **Factory Rent** | Rent for a 4,000 sq ft factory in Southeast England | £25,000 |
| **Business Rates** | Annual business rates | £5,000 |
| **Quality Control Staff** | Salaries for three employees responsible for monitoring production quality | £35,000 |
| **Sales Force & Vehicles** | Three sales representatives (£12,000 each) and three company vehicles (£3,000 each) | £50,000 |
| **Launch Marketing & B2B Promotion** | Budget for introducing the brand and promoting the product to retailers and wholesalers | £50,000 |
| **Total Annual Fixed Costs** | **Standardized total annual overhead expenses** | **£160,000** |

## 6.5 Packaging and Gift Packs (Operational Action Plan)



Chic Soap will take the following steps to manage product packaging and seasonal gift packs:

- Standard packaging: The case study gives a cost of £0.14 per bar, with a minimum print order of 40,000 units. For planning purposes, it will be assumed that this minimum applies to each fragrance design. Orders should be planned according to the expected demand for each fragrance to avoid holding more packaging stock than necessary.
- Christmas gift packs: Each gift pack will contain five soaps, with an additional packaging cost of £0.45 per pack. The case study also specifies a minimum production run of 25,000 packs. Based on the target of 773,256 bars at a 10% market share, allocating 25%

of total sales to gift packs would require approximately 38,663 packs. This is above the minimum required quantity. However, actual production should be planned according to retailer orders and expected customer demand.

- **Order Planning:** Before placing the seasonal gift-pack order, Chic Soap should check advance orders and sales forecasts from retailers. The minimum order quantity will require Chic Soap to spend money and hold stock, but it does not guarantee that all the packs will be sold.

## 6.6 Outline Cash Flow




The cash-flow plan should show when money is expected to come into the business and when payments need to be made. This will help Chic Soap make sure it has enough cash to cover the initial investment, day-to-day operating costs and other expenses, particularly during the period before customers pay for their orders.

### 6.6.1 Main Cash Inflows

- The main source of cash will be payments received from selling Chic Soap products to national wholesaler chains and department stores.
- The timing of these payments will depend on the credit and payment terms agreed with each wholesaler and retailer.

### 6.6.2 Main Cash Outflows

Chic Soap will need to cover several costs to set up the business, run production and introduce the product to the market. The main cash payments will include:

- **Initial Capital Investment:** Purchasing the small integrated production line at an estimated cost of £25,000.
- **Fixed Operating Costs:** These include factory rent (£25,000), business rates (£5,000), quality-control salaries (£35,000, assumed to be the total for three employees), and the cost of three sales representatives and their company cars (£45,000).
- **Marketing Expenses:** A proposed budget of £50,000 will be used to introduce the brand and support promotional activities with wholesalers and retailers.
- **Variable Production Costs:** These include the soap base (£0.08 per bar), perfume (£0.40 per bar at the 300,000-unit production level), individual packaging (£0.14 per bar, subject to the minimum print order), and energy and maintenance (£0.02 per bar).

- **Distribution Costs: The estimated freight cost is £0.075 per bar, based on its 150g weight and the quoted delivery rate of £0.50 per kilogram.**
- **Christmas Gift Packaging:** Each five-bar gift pack will cost an additional £0.45 to package, with a minimum order of 25,000 packs. This means an initial minimum commitment of £11,250 for gift packaging. This cost should be included separately in the cash-flow forecast, as it depends on the timing and size of seasonal orders.

### 6.6.3 Working Capital & Seasonal Cash Management

- **Working Capital:** Chic Soap will need to pay for raw materials, production costs and other operating expenses before receiving payments from retailers and wholesalers. Chic Soap should therefore keep enough cash available to cover these expenses while waiting for customers to pay.
- **Christmas Seasonal Costs:** The Christmas period will require careful cash planning, as Chic Soap will need to pay for gift packaging and seasonal production before the main selling period begins. These costs should be included in the cash-flow forecast to make sure that enough money is available when payments fall due.

### 6.6.4 Strategic Cash-Flow Control Policies

To manage its cash effectively and reduce the risk of running short of money, Chic Soap should follow these policies:

1. Prepare purchasing and production schedules based on regular sales forecasts and confirmed customer orders.
2. Avoid placing large orders for packaging and Christmas gift packs without first considering the expected level of demand and the minimum order quantities involved.
3. Agree suitable payment terms with suppliers and make sure that wholesalers and department stores pay within the agreed time.
4. Keep track of stock levels and how quickly products are sold to avoid holding unnecessary stock and tying up cash in unsold products.
5. Review cash balances and future cash requirements regularly, especially before seasonal production and major promotional activities.

These figures and policies provide an initial basis for planning, but they do not represent a complete monthly cash-flow forecast. A more detailed forecast will need to show when payments for equipment, packaging, raw materials and other expenses are due, as well as when products are manufactured, sold and paid for by customers.

## 6.7 Total Costs, Fixed/Variable Integration and Break-Even Analysis




The following calculations show the difference between the factory's maximum production capacity and the sales target set for the business. The £13.3 million premium soap market is used as a basis for estimating a 10% market share, rather than assuming that the factory will operate at full capacity. Using the average retail price of £1.72 per bar given in the case study, a 10% share of the market would represent approximately 773,256 bars per year.

- **Production model:** The factory is assumed to operate for 20 hours a day, six days a week and 47 weeks a year, giving a total of 5,640 scheduled production hours. Allowing two hours each week for changing fragrances and packaging (94 hours over the year) leaves 5,546 available production hours. At a production rate of 1,200 bars per hour, the factory could produce up to 6,655,200 bars annually. However, meeting the proposed sales target of 773,256 bars would require only around 644 production hours, which represents approximately 11.6% of the factory's available annual capacity.
- **Cost Structure Integration:**
  - **Variable Costs:** The estimated variable cost is £0.7375 per bar. This includes the soap base (£0.08), perfume (£0.40), individual packaging (£0.14), energy and maintenance (£0.02), estimated delivery cost (£0.075) and the additional gift-packaging cost (£0.0225).
  - Based on the target of 773,256 bars per year, the total variable cost would be approximately £570,276. If the factory operated at its full annual capacity of 6,655,200 bars, the total would increase to approximately £4,908,210, assuming the same cost per bar.
  - **Fixed Costs:** The annual fixed-cost budget is estimated at £160,000. This includes factory rent (£25,000), business rates (£5,000), quality-control staff salaries (£35,000, assumed to be the total for three employees), sales representatives and company vehicles (£45,000), and the proposed marketing budget (£50,000).
- **10% Market Share Scenario:** Based on a 10% share of the £13.3 million retail market and an average retail price of £1.72 per bar, Chic Soap would need to sell approximately 773,256 bars per year. Using the proposed weighed average selling price of £1.396 per bar, Chic Soap's estimated annual revenue would be around £1,079,465.

  At a variable cost of £0.7375 per bar, the total variable costs would be approximately £570,276. After deducting the estimated annual fixed costs of £160,000, the business would make an estimated operating profit of £349,189 before tax.

This calculation assumes that Chic Soap achieves its 10% market-share target and sells the full planned quantity through the proposed distribution channels. It is an estimated scenario rather than a guaranteed sales or profit result.

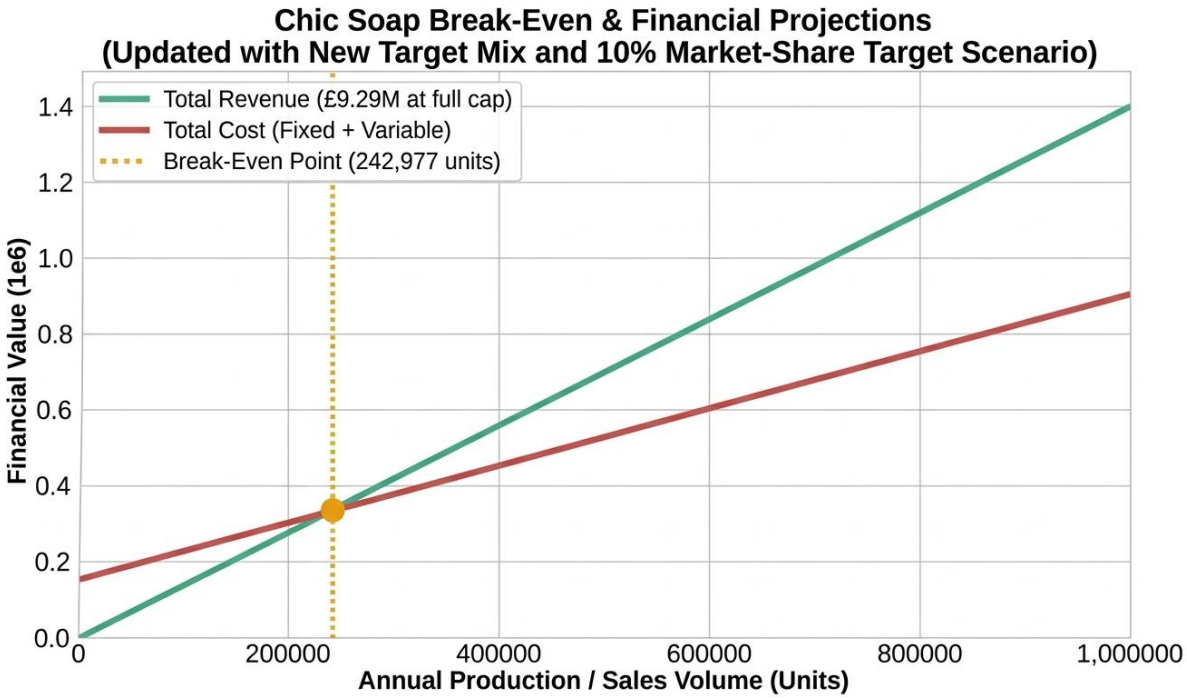
- **Break-Even Volume Analysis:**

$$\text{Contribution Margin per Unit} = £1.396 - £0.7375 = £0.6585$$

$$\text{Break-Even Point (Units)} = \frac{£160{,}000}{£0.6585} \approx 242{,}976 \text{ units}$$

Chic Soap would need to sell approximately 242,977 bars per year to cover its annual fixed costs of £160,000. This is calculated by dividing the fixed costs by the contribution margin of £0.6585 per bar.

This volume represents around 3.65% of the factory's theoretical annual production capacity and approximately 31.4% of the proposed sales target of 773,256 bars. However, the result depends on several assumptions, including staff salaries, the actual marketing budget, the distribution mix, perfume costs and delivery charges. Reaching the break-even point does not, by itself, guarantee that the business will be commercially successful.



# 7. Implementation Schedule

The plan will be implemented in stages. The timing of each stage will depend on supplier delivery times, retailer agreements, production readiness and seasonal order deadlines. Specific dates and responsible people can be added once these have been agreed.




| Stage | Main Operational Activities |
|---|---|
| **Preparation** | Finalize commercial agreements and obtain any necessary permissions for the five fragrance names. Confirm the product specifications for the 150g soap bars, choose suitable raw material suppliers and secure the 4,000 sq ft factory in Southeast England. |
| **Production Setup** | Purchase and install the £25,000 production line, recruit the three quality-control employees and place the first packaging orders. These orders should take account of the minimum print quantity of 40,000 units, based on the assumption that this requirement applies to each fragrance design. |
| **Distribution Development** | Recruit the three sales representatives and provide them with company vehicles. Their main task will be to approach the major national wholesaler chains, targeting 20 key accounts, and national department stores, covering approximately 350 outlets, to agree initial supply arrangements. |
| **Product Launch** | Begin supplying the product through the agreed distribution channels. Gift-pack quantities should be planned using retailer orders and sales forecasts. Under the 10% market-share scenario of approximately 773,256 bars, allocating 25% of sales to gift packs would require around 38,663 five-bar packs, which is above the minimum production run of 25,000 packs. This 25% allocation is a planning assumption rather than confirmed market demand. |
| **Christmas Campaign** | Coordinate Christmas promotions with wholesalers and retailers, arrange suitable product displays and make sure that gift packs are available ahead of the main selling period. Production and stock levels should be based on expected orders and customer demand rather than the factory's full production capacity. The minimum order of 25,000 packs should also be considered when planning seasonal purchases. |
| **Performance Review** | Review sales, stock levels, distribution coverage and production costs regularly. Compare actual results with the original budgets and targets, and make changes where necessary to improve performance and control costs. |

Management should follow progress throughout all stages rather than waiting until implementation is complete. The schedule should also be updated whenever supplier lead times, retailer orders or production requirements change.

# 8. Monitoring and Control



Management should regularly compare actual performance with the figures and targets set in the plan. Any significant differences should be investigated, and changes should be made where necessary. The following KPIs will help Chic Soap monitor its progress. Specific targets should be agreed once a realistic sales forecast has been prepared.

**Recommended Key Performance Indicators (KPIs)**

| Area | Key Performance Indicator (KPI) | Purpose |
|---|---|---|
| **Sales** | Number of bars sold and total sales revenue | To track sales performance and see whether Chic Soap is meeting its sales targets. |
| **Distribution** | Number of active retail outlets (targeting 350 department store doors) | To measure how widely the product is available to customers. |
| **Wholesalers** | Number of active wholesaler accounts (targeting 20 key chains) | To monitor the development of relationships with wholesale partners. |
| **Retail Performance** | Frequency and quantity of repeat orders | To understand how quickly products are selling and whether retailers need to restock. |
| **Product** | Customer feedback and complaint logs | To identify any problems with product quality, fragrance preferences or customer satisfaction. |
| **Production** | Actual variable cost per bar (scenario baseline £0.7375) | To monitor changes in material, packaging and delivery costs, as well as production efficiency. |
| **Inventory** | Stock levels and inventory turnover ratio | To avoid holding too much stock, particularly packaging affected by the 40,000-unit minimum print order, while also preventing shortages. |

| Area | Key Performance Indicator (KPI) | Purpose |
|---|---|---|
| **Promotion** | Sales generated during promotional campaigns compared with normal sales, alongside campaign costs | To assess whether the proposed £50,000 marketing budget is generating worthwhile results. |
| **Seasonal Sales** | Number of gift packs ordered and sold, and the quantity remaining in stock | To measure Christmas demand and monitor the risk of unsold gift packs, taking the 25,000-pack minimum order into account. |
| **Distribution Profitability** | Gross margin achieved through each channel (wholesalers and department stores) | To compare the financial performance of the two distribution channels and identify which is more profitable. |
| **Cash Flow** | Available cash, outstanding customer payments and amounts owed to suppliers | To monitor Chic Soap's cash position and identify potential problems with working capital. |

**Operational Review & Corrective Actions**

- **Regular Reviews:** Sales, orders, stock levels, costs and cash flow should be reviewed every month. During the Christmas production and selling period, these reviews should take place weekly to keep a closer eye on the situation.
- **Lower-than-Expected Sales:** If sales are below expectations, Chic Soap should first look at the possible reasons. These could include low brand awareness, limited product availability, pricing issues, customer preferences for certain fragrances or slow sales at retail outlets. Production or promotional spending should not be increased until the cause is understood.
- **Fewer Repeat Orders:** If retailers are not placing repeat orders, Chic Soap should check how well the products are selling in their stores and whether they still have stock available. Initial orders from retailers do not necessarily mean that customers are buying the product.
- **Increasing Costs:** Any rise in costs should be investigated by reviewing supplier prices, perfume costs at different production volumes, order quantities, production changeovers, waste and delivery charges. The actual figures should be compared with the assumptions used in the cost calculations.

- **Cash Flow Problems:** If Chic Soap faces a shortage of cash, management should review delays in customer payments, payment terms with suppliers, existing stock commitments and upcoming seasonal purchases. The cash-flow forecast should then be updated before making any further spending commitments.

The aim of these reviews is to identify problems early and make changes based on actual sales, costs and cash-flow information.

# 9. Conclusion




Chic Soap has an opportunity to enter the UK premium-soap market. Customers in this market are interested in fragrance and product presentation, while the case study also highlights the importance of gift purchases, particularly around Christmas. However, Chic Soap will need to confirm that there is enough customer and retailer interest before moving ahead with the launch.

- **Target Market:** The main target group will be women aged 35 and above in socioeconomic group A, as identified in the case study. Working women aged 25–45 are considered a possible secondary segment, while Christmas gift buyers represent another opportunity based on the seasonal demand described in the case.
- **Product and Positioning:** Chic Soap will offer a 150g premium soap bar, using a high-quality soap base, a range of fragrances and specially designed packaging. Customer feedback will be important in confirming whether the product and its proposed retail price of £1.85 offer good value for money.
- **Distribution Strategy:** Chic Soap plans to supply independent chemists through wholesalers and approach national department stores directly. Building relationships with these businesses will be important, particularly when agreeing retailer margins, promotional support, delivery arrangements and stock replenishment.
- **Financial Outlook:** Based on the current assumptions, annual fixed costs are estimated at £160,000 and the variable cost is £0.7375 per bar. Using a contribution margin of £0.6585, the break-even point is approximately 242,977 bars per year. The proposed 10% market-share scenario represents around 773,256 bars annually and an estimated pre-tax operating profit of approximately £349,189. These figures depend on achieving the planned sales volume and maintaining the assumed selling prices and costs.
- **Conditions Before Launch:** Before starting production, Chic Soap should confirm the necessary permissions for the five fragrances, supplier prices and volume discounts,

staff costs, packaging minimum orders and retailer interest. Production quantities should also be based on realistic sales expectations to avoid unnecessary stock and cash-flow problems.

# References




1. **Chic Soap – Distribution Channels Case Study.** Course material supplied for the assignment.
2. **The Marketing Plan – Improving Your Competitive Edge.** Marketing plan template supplied as course material.

*Note: Market figures, competitor prices, production costs, distribution margins and operating-cost estimates in this plan are based on the supplied Chic Soap case study. Proposed decisions, including the £1.85 retail price and the recommended marketing and distribution activities, are identified as planning recommendations rather than facts provided by the case.*

**AI Assistance Statement**

*"An AI tool was utilized strictly for language refinement, formatting, and structuring the document. All market analysis, strategic decisions, financial calculations, and final evaluations were independently conducted and verified by the author."*

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